

FRANCHISES: A METHOD RATHER THAN AN ENTITY

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Recognize the role of franchises in business.

An existing entity that wishes to distribute its products to a broader market without the overhead costs of retail space, equipment, and employees can do so through the use of a franchise. A franchise should be thought of as a method of conducting business that centers on a contractual relationship rather than as a business entity. Federal statutes define a franchise as an arrangement of a continuing commercial relationship for the right to operate a business pursuant to the franchisor's trade name or to sell the seller's branded goods. A franchise involves the *franchisor*, a business entity that has a proven track record of success, selling to a *franchisee* the right to operate the business and use the business's trade secrets, trademarks, products, and so on. The franchisor assists the franchisee with financing, supplies, training, and other aspects of running a successful operation.

Legal Strategy in Action

Strategic Franchising

Uber and Lyft have been engaged in an epic battle in several states over the classification of its drivers as independent contractors rather than as employees (this distinction is covered in detail in [Chapter 36: Agency Formation, Categories, and Authority](#)). In California, the state legislature passed a law designed to grant employment benefits to gig workers and to force Uber and Lyft to categorize drivers as employees if it was shown that the drivers' jobs were part of the companies' core business. In response, both Uber and Lyft discussed a strategy to license their brands to operators of vehicle fleets in California through franchise agreements.¹ The arrangement uses an independently operated franchise model and would allow Uber and Lyft to keep an arm's-length association with drivers so that the companies would not need to employ them and pay their benefits. Although neither company has implemented the arrangement, it is an example of how companies use legal strategies to prevent liability and add value to their company.

Franchise Agreements

The parties in a franchise are typically bound to each other via a franchise agreement. The franchise agreement covers some of the following terms that govern the relationship between franchisee and franchisor: (1) the term (time limit) of the agreement; (2) franchise fees, payment terms, and ongoing investment or buying requirements; (3) territory rights that usually provide the franchisee with an exclusive geographic area; (4) commitments from the franchisor for training, ongoing management support, and advertising; (5) commitments from the franchisee to follow operating protocol; (6) royalties and other fees that the franchisee must pay; and (7) franchisee termination and/or cancellation policies.

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FTC Regulation

The Federal Trade Commission (FTC) is the federal regulatory authority that oversees the regulation of franchisors. The FTC regulations are primarily designed to ensure full disclosure of all information relating to a franchise company prior to a franchisee investment. The FTC regulations are very detailed, but almost all focus on mandatory disclosures about the financial condition of the franchise, success rates, and other important information used by potential franchisees faced with making the decision to invest in the franchise. The disclosure process is lengthy, complex, and almost always requires the counsel of an attorney skilled in franchise law.

State Regulation

Most states have implemented their own individual franchise rules and minimum disclosure requirements to supplement the federal legislation. These additional requirements usually entail filing a registration statement with a state regulatory agency (the state-level equivalent of the FTC). The registration statements are public documents and often require detailed disclosures and biographical information on the principals of the franchise.



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Dunkin' Donuts is one of the mostly widely recognized franchises in the United States.